SLOAN v. FOX REALTY AND MANAGEMENT

22CV46287

DEBTOR'S CLAIM OF EXEMPTION AND MOTION TO SET ASIDE

This is an action between property owner and property management company regarding a particular tenant and alleged property damage. Before the Court is the continued hearing on defendant-debtor's claim of exemption for funds held on bank deposit, as well as a new motion to set aside.

The pertinent facts are as follows:

On 09/21/22, plaintiff effectuated *substituted* service of the summons and complaint on co-defendant Fox Realty and Management Co. by leaving a copy of the papers with Valerie Slagle – who is reported to be assistant to Colin Lightfoot, owner and principal of Fox Realty and Management Co, and she also is Fox' registered agent for service of process. Fox does not dispute receiving actual notice via the summons.

On 10/18/22, plaintiff effectuated *personal* service of the summons and complaint on co-defendant Cathy Nitchey. She worked at the Fox Realty company as a broker and property manager. She does not dispute being served.

On 01/09/23, this Court entered the default for both defendants. Thereafter, this Court entered a judgment after default in favor of plaintiff, and against both defendants, in the aggregate amount of $49,960.00. The request for default reflects service on Fox Realty/Nitchey on 1/6/23.

In April of 2023, the Amador County Sheriff's Office gave notice of intent to levy two accounts held at the Bank of Marin belonging to co-defendant Fox Realty, which collectively held funds in the amount of $7,787.48. Fox asserted a claim of exemption for that account, asserting that those accounts held only client trust funds, which are not subject to levy.

On 06/07/23, co-defendant Fox Realty amended its claim of exemption, describing the two accounts not only as client trust accounts but also as "deposit accounts via hardship" and "social security accounts" and "retirement benefit" accounts. In other words, Mr. Lightfoot has asserted – on behalf of Fox Reality – that the accounts are unlawfully commingled, but that each deposit therein is covered by a separate exemption.

On 06/08/23, plaintiff filed a second opposition to the claim of exemption, but only addressed the escrow account issue (not the claimed hardship, Social Security or retirement exemptions).

On 06/23/23, this Court continued the hearing on the claim of exemption, noting that most of the issues would be resolved following the debtor's examination. This Court ordered plaintiff to lodge a copy of the debtor's examination transcript (if any), and any supplemental opposition papers, at least 10 days prior to the next hearing.

On 07/18/23, defendants filed a motion to set aside the default and default judgment.

Motion to Set Aside Default and Default Judgment

According to plaintiff, defendants never served the motion to set aside, and as such "a formal opposition cannot be prepared and filed." (See 08/15/23 filing.) Some confusion exists regarding the motion itself, as it was first proffered via *ex parte* application as a request to shorten time – which was denied. This Court's order dated 07/19/23 directed defendants to "use regular noticed motion" process. That process involves service of the motion with sufficient lead time to permit timely opposition, and specified notice regarding this Court's tentative ruling system. (See CCP §1005 and CCSC Local Rules 3.3 and 3.3.7.) There is no evidence that defendants actually served the motion on plaintiff, much less provided the required tentative ruling notice. However, counsel for defendant did provide proof of having served the papers on plaintiff on 07/13/23 in conjunction with the ex parte application. Since CRC 3.1206 requires service of the actual papers "at the first reasonable opportunity" prior to the actual hearing, the email service effectuated on 07/13/23 and addressed in open court on 07/21/23 was sufficient to put plaintiff on notice that the motion to set aside would be heard on the merits this day. Plaintiff's failure to file opposition, and put the blame for that on defendants, is disingenuous. However, the Court also notes the claims in the declarations of Nitchey and Lightfoot that they default "without my knowledge …. A complete surprise" are even more disingenuous given both the request for default and request for entry of default judgment contain a proper proof of service. Moreover, as the default was entered on 1/9/23, the filing of the request to set aside on 7/18/23 is untimely, coming more than 6 months after the precipitating event. (Although the actual default judgment was entered on 1/23/23 making this motion filing within the 6 months by a matter of days, the Court considers this a procedural event as the precipitating substantive event was the entry of default.)

Based on the foregoing, the Motion to Set Aside Default is DENIED.

Claim of Exemption

Pursuant to CCP §704.220 and W&I Code §11452(a)(1), there is an automatic "hardship" exemption ($1,947.00 after accounting for adjustments) for a needy family of four. Debtor provides no evidence that he resides with anyone else, but even assuming that someone depends on him, this exemption only touches a small fraction of the bank account balances.

Pursuant to CCP §704.110(b), "all amounts held, controlled, or in process of distribution by a public entity derived from contributions by the public entity or by an officer or employee of the public entity for public retirement benefit purposes, and all rights and benefits accrued or accruing to any person under a public retirement system, are exempt without making a claim." Debtor has not provided any evidence from which to conclude that the funds held in those accounts are derived from a public entity retirement fund.

Pursuant to CCP §704.080(b)(2) and 42 USC §407, a deposit account into which social security benefits are *directly* deposited by the government is exempt without making a claim up to $3,825.00, and potentially exempt even further. Debtor has not provided any evidence from which to conclude that the funds held in those accounts are Social Security benefits deposited directly therein.

Pursuant to CA Finance Code §17410(a), "escrow or trust funds are not subject to enforcement of a money judgment arising out of any claim against the licensee or person acting as escrow agent, and in no instance shall such escrow or trust funds be considered or treated as an asset of the licensee or person performing the functions of an escrow agent." In other words, if the money belongs to someone else, and only temporarily in the debtor's possession as a fiduciary, that money is obviously not available to satisfy the debtor's personal obligations. Although funds held by a licensed escrow agent in an escrow account are presumably exempt (see §17411.1), there is no prerequisite that the debtor have an escrow license (contrary to plaintiff's assertion). The funds could be client funds even if the debtor is "just" a real estate agent – depending on the nature of the account and the source of the funds. Nevertheless, defendant's contention that the levied funds were client trust funds presents a factual issue on which defendant has the burden of proof. (See CCP §703.580(b); *Schwartzman v. Wilshinsky* (1996) 50 Cal.App.4th 619, 626.) Debtor provided the required citation for the escrow funds exemption, but failed to include "a statement of the facts necessary to support the claim." (See CCP §703.520(b)(5) and (6).) Since it appears from the opposition that defendant is not a natural person (see CCP §703.020(a)), and does not hold an escrow agent license, the odds of this money righteously belonging to a client appears slim – especially since debtor now claims that the funds are personal to him.

Claim of exemption is DENIED without prejudice, but enforcement is stayed until completion of the debtor's examination at which time the Court will hear if any specific evidence was developed at the examination that establishes a basis for any of the otherwise denied claims.

The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to prepare a formal Order pursuant to Rule of Court 3.1312 in conformity with this ruling.

RYAN v. HUTCHINSON

19CV44070

PLAINTIFF'S MOTION FOR LEAVE TO SUBSTITUTE PARTY-DEFENDANT

This is a personal injury action stemming from an altercation between plaintiff and defendant occurring on 12/06/18. Defendant died on 11/21/22. Before the Court is a renewed motion by plaintiff to substitute defendant's estate as a party-defendant. Although the previous motion was expressly unopposed, it was denied based on abatement concerns.

Pursuant to CCP §377.41, "on motion, the court shall allow a pending action or proceeding against the decedent ***that does not abate*** to be continued against the decedent's personal representative or, to the extent provided by statute, against the decedent's successor in interest, ***except that*** the court may not permit an action or proceeding to be continued against the personal representative unless proof of compliance with Part 4 (commencing with Section 9000) of Division 7 of the Probate Code governing creditor claims is first made."

According to plaintiff, an estate has been opened on behalf of defendant/decedent (see 22PR8585) and a personal representative appointed (Christine Eberle). Pursuant to CCP §1250.220(b), she would be the proper individual to name. In addition, plaintiff provides proof of compliance with Probate Code §9370 by having filed a creditor claim which was denied, prompting what amounts to a motion to enforce (see 22PR8585).

Nevertheless, there is a service anomaly. Attorney Brian Chavez-Ochoa appeared on behalf of defendant early in the case, but then made an appearance on behalf of personal representative Christine Eberle (see 03/15/23 filling). However, on 07/28/23, he filed a "Request for Judicial Notice" stating that he did not represent the estate. This later filing is a nullity, as since he appeared on behalf of the "estate" on 03/15/23, a Substitution or Motion to Withdraw is required. This Court can see that the estate is also represented by Attorney Theresa Haefele – who did not receive notice of this motion, but of whom plaintiff's counsel is aware since he served plaintiff's creditor claim directly on her (as well as Attorney Chavez-Ochoa). This Court is confused as to why service of this motion was not also made on Attorney Haefele, who is apparently "lead" for the probate action.

Motion continued to October 6, 2023, at 9:00 a.m. in Department 2. Plaintiff shall immediately effectuate proper service of the motion on all lawyers representing the estate; and if there is no opposition intended, the parties are encouraged to file a